(c) Protectionism and Consequent Political Friction

Two major financial crashes, one in Vienna and the other in New York, led to a full blown economic depression in Europe and America in the mid-1870s. The depression severely affected production, prices and wages. Cheap grain flooded the markets of western European nations affecting the domestic producers who suffered due to fall in prices. People began to question the wisdom of free trade policies. Germany precipitated a crisis by its protectionist policy. Its Tariff Act of 1879 imposed tariffs on industrial and agricultural imports into Imperial Germany. Soon other nations followed suit. As Britain could fall back on its policy of colonial trade preferences, it revoked trade treaties in 1898 with France and Germany. Tariff actions and counter-actions by the various European powers escalated protectionism and political friction. The leaders who administered the empires realised that the outcome of such conflict would depend on the strength of their armed forces. So they vied with each other in building their arsenal, thereby creating the conditions for war.

13.3 World War I

(a) Pre-War Power Politics

Europe

By the turn of the century Germany had emerged as the most powerful industrial state in the Continent. By then the world was largely occupied by the other imperialist powers. Under Kaiser William II, Germany sought colonies. Its ambition was to gain control over north Africa. German capitalists and imperialists also desired eastward expansion and the government obliged them by constructing a railway line from Berlin to Baghdad to facilitate economic control of the Ottoman Empire.



Kaiser William II



Franco-Prussian War

The objective of France was to recover Alsace and Lorraine that it had lost after the Franco-Prussian War (1871). The French also had an ambition of adding mineral-rich Morocco to their African empire. Russia entertained the hope of gaining control of the Bosporus and the Dardenelles (under Turkey's control then), as they were expected to give access to the Mediterranean and to take possession of Istanbul. Russia's plan was to lay claim to the Balkans once Turkey was eliminated from Europe. Italian foreign policy was based on hopes at the expense of Austria and Turkey. Austria's hold on Trieste and other parts of Adriatic coast was precarious since much of this territory was inhabited by Italians. Turkey blocked Italy's acquisition of Tripoli and other territories in North Africa. As for Britain, despite the lead in industrial growth and control of a vast empire, it had to compete with Germany and the United States, which were producing cheaper manufactured goods and thus capturing England's markets.

Asia

In Asia, during the Meiji era (1867–1912), as Japan became a great industrial power and the Japanese people more educated, there developed an aggressive nationalism and a wish to become a world power. Japan joined in the scramble for China. Japan invaded Korea, then an independent kingdom and drove out the Chinese army. In the ensuing Sino-Japanese War, according to the Treaty of Shimonoseki signed at the end, Japan got Formosa, Port Arthur and Liaotung peninsula. The crushing defeat of China by Japan in (1894–95) surprised the world. Fearing this sudden increase in Japan's power, the European powers forced Japan to give

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